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THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)
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INCOME FROM HOUSE PROPERTY

Charge on Annual Value (Earning Capacity) of property [Sec. 20]

Conditions

Property

- Consist of building or land appurtenant thereto

Owner

- Assessee is owner (or deemed owner) of such Property

Not used in taxable business or profession

- Property is NOT used by the owner in his taxable business or profession

Taxpoint

- ❑ Assessee may not be the owner of the ground on which the building is built
- ❑ Following are not covered under this head
  - Gain on transfer of house property is not taxable under this head but under the head Capital Gains
  - Income from vacant land is not taxable under this head
  - Income from sub-letting is not taxable under this head

Building or land appurtenant thereto

Includes	Does not include
✓ Residential House	✘ Vacant Land - such income is taxable as BP / OS
✓ Non residential house with or without roof	✘ Ruined House
✓ Car parking area with building	✘ Incomplete / Demolished house
✓ Stadium	✘ Temporary Structure
✓ Open air swimming pool	
✓ Many independent flats in a building; each independent flat is a house	

Deemed Owner [Sec. 25]

- Property transferred without adequate consideration to a **spouse** (except under an agreement to live apart) or **minor child** (other than married daughter) shifts the tax liability back to the transferor.

  Taxpoint: In case of transfer to spouse, marriage should subsist on both the days i.e., on the day of transfer as well as on the day when income arises

- Holders of an impartible estate

- Property allotment to members of a cooperative society or company makes the member the deemed owner, regardless of the entity holding the legal title.

- Possession acquired under part performance of a contract (u/s 53A of the Transfer of Property Act, 1882) classifies the buyer as the deemed owner, even if the sale deed remains unregistered.

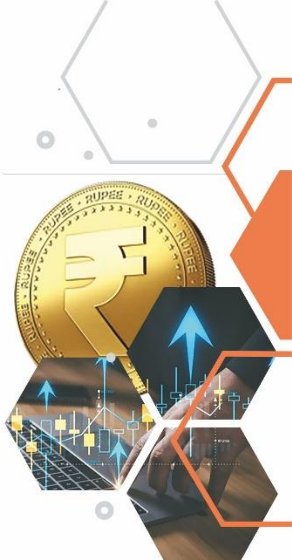
- Long-term leaseholders acquiring rights for a period of 12 years or more

  Taxpoint: Such right does not include any rights by way of a lease from month to month or for a period not exceeding 1 year

Property is not occupied for owner's taxable business or profession – Incidence thereof

- ***Letting out to Government Agencies***: Where an assessee let out his property to any Government agency for locating police station, post office, GST office, railway staff quarters, etc. or locating branch of a nationalized bank, for the purpose of running the business of assessee more efficiently, such letting out shall be deemed to be incidental to business and such rent shall be chargeable under the head "Profits & gains of business or profession".

- ***Letting out to ancillary units***: Where an assessee lets out its property to ancillary units, which manufactures components required by the assessee. Income from such letting out shall be taxable under the head "Profits & gains of business or profession".



Factor for Determination of Annual Value of Property [Sec. 21]

Gross Municipal Value

- The annual value of the property decided by municipality on which they charge municipal tax.

Fair or Notional rent

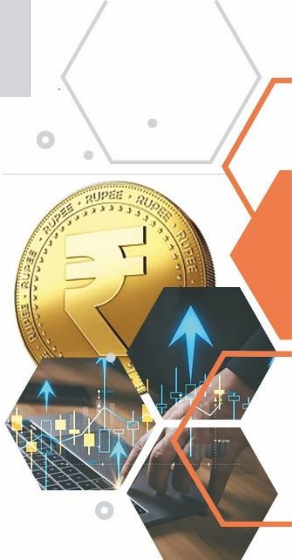
- Rent fetched by a similar property in the same or similar locality is an indicator of reasonably expected rent from the property.

Standard rent

- The maximum rent, which a person can legally recover under the Rent Control Act prevailing in the State.

Actual Rent Receivable [ARR]

- *De-facto rent* of the property also shows the earning capacity of the building.
  - *ARR – Cost of amenities*



Computation of Annual Value of Property [Sec. 21]

Steps	Particulars	₹
1st	Compute Reasonable Expected Rent [RER]	
	Gross Municipal Value (a)	****
	Fair Rent (b)	****
	Higher of the (a) and (b) [A]	****
	Standard Rent [B]	****
	Reasonable Expected Rent [Lower of (A and B)] [C]	****
2nd	Actual Rent for entire year (ARR) – Unrealised Rent of the current year (UR) [D]	****
3rd	Take of Higher of C and D	
4th	Less: Loss due to Vacancy (if property is actually let out for a part of the year) [ARR / 12 X Vacancy period]	****
	Gross Annual Value	****

Example 1

Particulars	H1	H2	H3	H4	H5
Municipal annual value	90	500	30	100	315
Fair rent	300	300	300	300	300
Standard rent under the Rent Control Act	50	800	240	250	500
Actual rent receivable p.a.	120	600	180	360	150
Unrealised rent of the tax year 2026-27 (in terms of months)	2	3	1	3	2

Computation of Gross annual value (GAV)

Steps	Particulars	H1	H2	H3	H4	H5
1st	Calculation of RER					
	Gross Municipal Value	90	500	30	100	315
	Fair Rent	300	300	300	300	300
	Higher of the above [A]	300	500	300	300	315
	Standard Rent [B]	50	800	240	250	500
	Reasonable Expected Rent [lower of A and B] [C]	50	500	240	250	315
2nd	Calculation of (ARR – Unrealised Rent)					
	Actual rent receivable p.a.	120	600	180	360	150
	Unrealised rent	20	150	15	90	25
	ARR – Unrealised Rent [D]	100	450	165	270	125
3rd	Gross Annual Value (being higher of step 1 and step 2)	100	500	240	270	315

Example 2

Particulars	H1	H2	H3	H4	H5	H6
Gross Municipal Value p.a.	200	300	400	500	300	300
Fair rent p.a.	300	600	750	180	200	400
Standard rent under the Rent Control Act p.a.	300	180	280	225	240	240
Actual rent p.a.	600	900	300	240	216	240
Property remains vacant (in number of month)	1	3	2	1	2	1

Computation of Gross annual value (GAV)

Step	Particulars	Working	H1	H2	H3	H4	H5	H6
1st	Calculation of RER	Higher of GMV and FR (RER cannot exceed SR)	300	180	280	225	240	240
2nd	ARR	For the period actually let out	550	675	250	220	180	220
3rd	Higher of above	Higher of Step 1 & Step 2	550	675	280	225	240	240
4th	Gross Annual Value		550	675	250	220	200	220

Reduction of Unrealised Rent – Conditions [Sec. 22]

- The tenancy is **bona fide**;
- The tenant has **vacated** the property or steps have been taken to compel eviction;
- The defaulting tenant occupies **no other property** of the assessee;
- Assessee has instituted **legal proceedings** or proved them worthless to the Assessing Officer.

Computation of Income from House Property [Sec. 21 and 22]

Particulars	Details	Amount
Gross Annual Value (GAV)		****
Less: Municipal tax (paid by the owner in the tax year i.e., cash basis)		****
Net Annual Value (NAV)		****
Less: <u>Deductions u/s</u>		
22(a) Standard deduction (If NAV is positive)	****	
22(b) Interest on borrowed capital (on accrual basis, subject to pre-construction period interest) (subject to certain conditions)	****	****
Income from house property		****

Interest on borrowed capital [Sec. 22]

Interest on loan

Pre-construction period	Post construction period
Starts From: a. Date of commencement of construction; or b. Date of borrowing, whichever is later, Ends on: March 31 immediately prior to the year of completion of construction	The period starting from the beginning of the year in which construction is completed and continues until the loan is repaid.
Interest for such period (if not allowed as deduction under other provisions) will be accumulated and claimed as deduction in **5** equal installments commencing from the year of completion of construction	Claimed as deduction in the respective year on accrual basis

Interest on Borrowed Capital – Conditions

Lender Certificate

The lender certificate shall specify:

a. the amount of interest payable on capital borrowed; and

b. the interest payable on any new loan, where subsequent to the capital borrowed, the assessee has taken any such loan for repayment of whole or any part of such capital.

Payable outside India

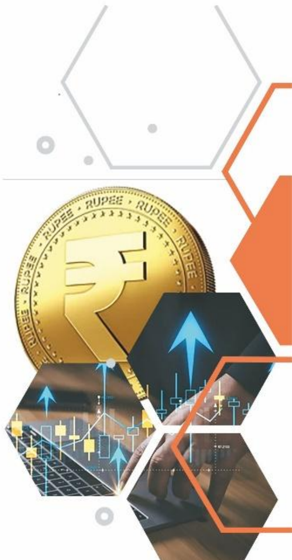
Interest, which is payable outside India shall not be allowed as a deduction, if:

a. tax has not been paid or deducted on such interest under Chapter XIX-B; and

b. in respect of such interest, there is no agent in India as per section 306

Not Claimed Otherwise

Such Interest shall be reduced by the any amount which is already allowed as a deduction under any other provisions



Computation in case of self-occupied property [Sec. 21(6)]

Meaning

A house property shall be claimed as self occupied property by an Individual and HUF, if following are satisfied:

a. Where the owner occupies property for his own residence or cannot actually occupy it due to any reason; and

b. Such house or any part thereof is actually let during any time of the tax year, or he derives any other benefit from it

Deemed to be let out

In case, more than 2 house properties satisfies aforesaid criteria, then assessee, at his choice, can considered two of such houses as self occupied and remaining property is considered as deemed to be letout

Computation in case of self-occupied property [Sec. 21(6)]

Particulars	Amount
Net Annual Value	Nil
Less: Interest on borrowed capital u/s 22(b), subject to certain limitation **[in old regime]**	***
Income from house property	(***)
Standard deduction u/s 22(a) is not available	

Cap on Interest u/s 22(b)

Opted for old tax regime	Other
• Aggregate deduction in respect of interest on loan on self-occupied properties cannot exceed ₹ 2,00,000 (subject to conditions) in a year. • The limit is for pre-post interest	• No deduction shall be allowed in respect of interest on borrowed capital. i.e., under this regime, we have nil income from self occupied property treated as such

Self-occupied property - Interest on loan – Available only in old tax regime

Conditions	Maximum Interest allowed in aggregate
1. Loan is utilized for construction or acquisition of house property; 2. Such construction or acquisition is completed within 5 years from the end of the tax year in which the capital was borrowed; and 3. The assessee furnishes a certificate from the person to whom interest is payable on such capital	₹ 2,00,000
In any other case	₹ 30,000

- In any case, aggregate deduction in respect of interest on loan on self-occupied properties cannot exceed ₹ 2,00,000 in a year.
- This is per year limit (including post construction interest + installment of post construction interest)
- The benefit is available only under old tax regime, i.e., if assessee has opted for sec. 202(4)

Example – More then 2 self occupied properties

Compute income under the head ‘Income from house property’ of Sri from the following information:

Particulars	H1	H2	H3	H4
Used for	Self occupied	Self occupied	Self occupied	Own Business
Situated at	Patna	Abu	Ranchi	Hyderabad
Gross Municipal Value	3,00,000	2,00,000	7,00,000	3,00,000
Fair Rent	2,00,000	2,00,000	6,00,000	1,20,000
Standard Rent	3,00,000	2,40,000	7,00,000	2,00,000
Municipal Tax	15%	15%	15%	15%
Repairs	13,000	4,000	8,000	8,000
Ground Rent	20,000	Nil	Nil	6,000
Land Revenue	Nil	10,000	Nil	Nil
Interest on Loan	40,000	1,00,000	2,10,000	20,000

Solution – One is considered as Deemed to be Letout, at his choice

In the given case, there are three options:

Option 1: Take H1 & H3 as Self-Occupied (S/O) and H2 as Deemed to be Let-Out (DLO)

Option 2: Take H1 as Deemed to be Let-Out (DLO) and H2 & H3 as Self-Occupied (S/O)

Option 3: Take H3 as Deemed to be Let-Out (DLO) and H1 & H2 as Self-Occupied (S/O)

IFHP shall be computed applying each option separately and then the option, which yields least income, shall be opted.

Particulars	Option 1		Option 2		Option 3	
	H1 & H3 S/O	H2 DLO	H1 DLO	H2 & H3 S/O	H3 DLO	H1 & H2 S/O
Gross Annual Value	Nil	2,00,000	3,00,000	Nil	7,00,000	Nil
Less: Municipal Tax (15% of MV)	Nil	30,000	45,000	Nil	1,05,000	Nil
Net Annual Value (A)	Nil	1,70,000	2,55,000	Nil	5,95,000	Nil
Less: Deduction u/s						
22(a) Standard deduction	Nil	51,000	76,500	Nil	1,78,500	Nil
22(b) Interest on loan	2,00,000	1,00,000	40,000	2,00,000	2,10,000	1,40,000
Total deduction (B)	2,00,000	1,51,000	1,16,500	2,00,000	3,88,500	1,40,000
Income from house property [A–B]	(-) 2,00,000	19,000	1,38,500	(-) 2,00,000	2,06,500	(-) 1,40,000
Income from house property	**(-) 1,81,000**		**(-) 61,500**		**66,500**	

Example – House property – Partly letout and partly self occupied - Area

Miss Paro has a house property having two separate residential units (unit A covering 40% of total area and unit B covering 60% of total area). Unit A is self-occupied by the assessee and unit B is let out to Sri Devdas for a monthly rent of ₹ 3,000. With the following further information, compute her taxable income from house property:

Municipal Value	₹ 1,00,000	Municipal Tax	10%
Fair Rent	₹ 1,20,000	Interest on Loan	₹ 30,000
Standard Rent	₹ 2,00,000	Annual charge	₹ 5,000

Working 1: Computation of Gross Annual Value (GAV)

Steps	Particulars	Working	Unit A	Unit B
	Municipal Value	40:60	40,000	60,000
	Fair Rent	40:60	48,000	72,000
	Standard Rent	40:60	80,000	1,20,000
1	RER	Higher of MV & FR (RER cannot exceed SR)	NIL (As S/O)	72,000
2	ARR	₹ 3,000 * 12	-	36,000
3	**Gross Annual Value**	**Higher of Step 1 & 2**	**-**	**72,000**

Solution – House property – Partly letout and partly self occupied - Area

Particulars	Working	Unit A		Unit B	
		Details	Amount	Details	Amount
Gross Annual Value	1		Nil		72,000
Less: Municipal Tax			Nil		6,000
Net Annual Value			Nil		66,000
Less: Deduction u/s					
22(a) Standard Deduction		Nil		19,800	
22(b) Interest on loan	40:60	12,000	12,000	18,000	37,800
Income from house property			(-) 12,000		28,200
Income under the head 'Income from house property'		**16,200**			

Example – House property – Partly letout and partly self occupied - Time

Mr. Rana used his house property for self-occupation till 1/8/2026 and let out the same for remaining period for rent of ₹ 6,000 p.m. Compute his income from house property from the following details:

Municipal value ₹ 1,00,000, Fair Rent ₹ 80,000, Standard Rent ₹ 96,000, Municipal tax 16%, Interest on loan ₹ 10,000

Solution Computation of income from house property of Mr. Rana for the tax year 2026-27

Particulars	Working	Details	Amount
Municipal Value		1,00,000	
Fair Rent		80,000	
Standard Rent		96,000	
Reasonable Expected Rent	Higher of MV & FR (RER cannot exceed SR)	96,000	
Actual Rent Receivable	₹ 6,000 * 8	48,000	
Gross Annual Value	Higher of RER and ARR		96,000
Less: Municipal Tax	16% of Municipal Value		16,000
Net Annual Value			80,000
Less: Deduction u/s			
22(a) Standard deduction	30% of NAV	24,000	
22(b) Interest on loan		10,000	34,000
Income from house property			**46,000**

Other

Recovery of unrealised rent and Arrears Rent [Sec. 23]

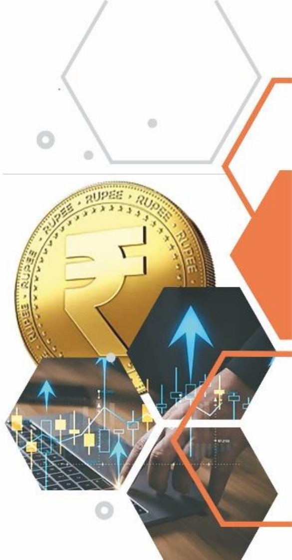
- **Chargeability**: Fully taxable in the year of actual receipt.
- **Ownership Irrelevant**: Taxable even if the assessee is not the owner during the year of receipt.
- **Taxable (Receipt Net of Standard Deduction)**: 70% x [Recovery of Arrear Rent or Unrealised Rent]

Property owned by co-owner with definite and ascertainable share [Sec. 24]

- Co-owners shall not be assessed as an AOP; and
- Income shall be computed separately as per their respective share.
- Relief in respect of self occupied property shall be available separately

Property held as stock-in-trade [Sec. 21(5)]

Period	Annual Value
Up to 2 years from the end of the financial year in which the certificate of completion of construction is obtained	Nil
After the completion of aforesaid period	Regular Computation



Other

Foreign Property

If house property is situated abroad, then annual value of such property shall be taxable as:

Assessee	Condition for taxability
Ordinarily resident	Always taxable
Not ordinarily resident or Non resident	Income must be received in India

Partner’s property used by the firm

The business carried out by the firm should be regarded as carried on by all the partners. Thus, annual letting value of a property belonging to the assessee which is in occupation of the firm in which assessee is the partner, is not includible in income of the assessee-partner

Example - Co-ownership

Ram and Shyam are co-owners of a house property (individual share being Ram 75%, Shyam 25%). The property is self-occupied by the co-owners. Interest on capital borrowed to purchase the property is ₹ 4,00,000 (loan taken on 17/10/2022). Find income from house property of Ram and Shyam for the tax year 2026-27, assuming Ram have opted for the old tax regime whereas Shyam is under default tax regime.

Solution

Computation of Income from House Property of Ram and Shyam for the tax year 2026-27

Particulars	Ram	Shyam
Net annual Value	Nil	Nil
Less: Interest on loan (Note)	2,00,000	Nil
Income from House Property	**(-) 2,00,000**	**Nil**

Note: Interest on loan divided as under:

Particulars	Working	Share of int.	Maximum limit	Allowed interest
In case of Ram	4,00,000 * 75%	3,00,000	2,00,000	2,00,000
In case of Shyam	4,00,000 * 25%	1,00,000	2,00,000	Nil as deduction is not available under default tax regime

Transfer of Property as a gift to Spouse - Property purchased by spouse using Cash Gift

Mr. A owned 2 residential houses for his own residential purpose, combined details of which are as follows –

Particulars	Amount
Gross Annual value	5,00,000
Municipal tax (paid)	10,000
Interest on loan for construction of house	2,25,000

On 1/4/2026, Mr. A gifted ₹ 10,00,000 to her wife. Out of such money, she acquired a house property for her own residential purpose. New house has gross municipal value of ₹ 50,000. She paid corporation tax of ₹ 2,000. Compute income from house property of Mr. & Mrs. A under both tax regimes. (Assume that Mrs. A does not own any other property).

Solution

Computation of income from house property of Mr. A for the tax year 2026-27

Particulars	Old Regime	New Regime
Self-occupied house		
Net Annual Value	Nil	Nil
Less: Deduction u/s		
24(b) Interest on loan	2,00,000	NA
	(2,00,000)	Nil
Add: Income of Mrs. A clubbed u/s 99(1)(a)(ii)	Nil	Nil
Income from house property	**(2,00,000)**	**Nil**

However, if Mr. A purchased the third property and then transferred the property as a gift to her wife, he is considered as a deemed owner u/s 25. In that case, he owns 3 self-occupied property, one should be considered as Deemed to be Let out.

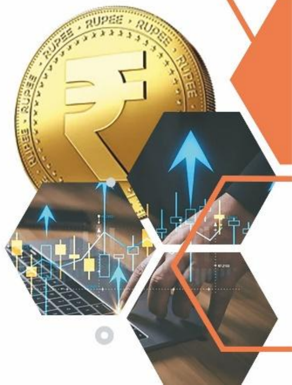
Since this is the only self occupied property of Mrs. A, income is nil

Exempted Properties

- Any one palace or part thereof of an ex-ruler, provided the same is not let out [Sch III Entry 39].
- House property of a local authority [Sch III Entry 22].
- House property of an approved scientific research association [Sch III Entry 23].
- House property of any University or other educational institution substantially financed by the Govt. [Sch VII Entry 17]
- House property of any hospital or other institution substantially financed by the Govt. [Sch VII Entry 18]
- House property located in Sikkim and owned by a Sikkimese [Sch III Entry 20]
- House property of a political party [Sch VIII Entry 1]
- House property of a trade union [Sch III Entry 31]
- A farm house [Schedule II Entry 1]

Other Tax Point

- If an assessee transfers his house property to son's wife without adequate consideration, provision of sec. 25 [Deemed Owner] shall not be attracted. Income shall be computed in the hands of son's wide and then it shall be clubbed in the hands of the transferor u/s 99(1)(b)
- If letting of only building is not possible, then sum received as rent from the properties (termed as composite rent) is chargeable as business income or income from other sources. E.g., letting out of hotel room, factory building with machine, etc.
- Income from paying guest is not taxable under this head
- Interest on loan taken for payment of municipal tax is not available as deduction u/s 22(b)
- Interest paid on fresh loan, which is taken to repay the original loan (being taken for acquisition or construction, etc. of house property) shall be allowed as deduction.
- Interest on new loan, taken for paying outstanding interest on old loan, is not deductible



Details to be given in ITR

- Address of the property
- Details of co-owner, if co-owned [Name, PAN/Aadhar and %
- Type of house property i.e., self occupied or let out, etc
- Computation of income with certain details as shown
- For interest on borrowed capital, provide
- Loan Taken From
  - Name of the bank / Institution / Person from which the loan is taken
  - Loan Account number of the Bank/ Institution
  - Date of sanction of loan
  - Total amount of loan
  - Loan outstanding as on last date of financial year
  - Interest on Borrowed capital

Details are required to be given for each property separately (ITR 1, consolidated)

a. Gross rent received or receivable or lettable value

b. The amount of rent which cannot be realized

c. Tax paid to local authorities

d. Total (1b + 1c)

e. Annual value (1a – 1d) (nil, if self -occupied etc.

f. Annual value of the property owned (own percentage share x 1e)

g. 30% of 1f

h. Interest payable on borrowed capital

i. Total (1g+1h)

j. Arrears/Unrealised rent received during the year less 30%

k. Income from house property

Old Law – New Law

Particulars	Old Sec.	New Sec.
Income from House Property	22	20
Determination of Annual Value	23 & 27	21
Deduction from income from house property	24 & 25	22
Arrears of rent and unrealised rent received subsequently	25A	23
Property owned by co-owners	26	24
Deemed Owner	27	25
Rule – Unrealised Rent	4	21

Thank You

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